

MERIDIAN COMPONENTS INC.

Annual Report and Consolidated Financial Statements

For the fiscal year ended December 31, 2025

(All amounts in thousands of U.S. dollars)

Prepared in accordance with U.S. GAAP

Report of Independent Registered Public Accounting Firm

CONSOLIDATED STATEMENTS OF OPERATIONS

(in thousands of U.S. dollars)

	2025	2024	
Revenue	1,250,000	1,100,000	
Cost of goods sold	(750,000)	(660,000)	
Gross profit	500,000	440,000	
Operating expenses	(300,000)	(270,000)	
Operating income	200,000	170,000	
Interest expense	(18,000)	(20,000)	
Income before income taxes	182,000	150,000	
Income tax expense	(45,500)	(37,500)	
Net income	136,500	112,500	

CONSOLIDATED BALANCE SHEETS

(in thousands of U.S. dollars)

	2025	2024	
Cash and cash equivalents	164,500	142,000	
Accounts receivable, net	205,000	180,500	
Inventories	160,000	155,000	
Property, plant and equipment, net	620,000	588,000	
Total assets	1,149,500	1,065,500	
Accounts payable	130,000	121,000	
Long-term debt	400,000	425,000	
Total liabilities	530,000	546,000	
Common stock	50,000	50,000	
Retained earnings	569,500	469,500	
Total equity	619,500	519,500	

CONSOLIDATED STATEMENTS OF CASH FLOWS

(in thousands of U.S. dollars)

	2025	2024	
Net income	136,500	112,500	
Depreciation and amortization	75,000	68,000	
Changes in operating working capital	(20,500)	(15,000)	
Net cash provided by operating activities	191,000	165,500	
Purchases of property and equipment	(107,000)	(95,000)	
Net cash used in investing activities	(107,000)	(95,000)	
Repayments of long-term debt	(25,000)	(20,000)	
Dividends paid	(36,500)	(30,000)	
Net cash used in financing activities	(61,500)	(50,000)	